

Protective Covenants and Remedies of Senior Security Holders

IN THIS AND the two succeeding chapters we shall consider the provisions usually made to protect the rights of bond owners and preferred stockholders against impairment, and the various lines of action which may be followed in the event of nonfulfillment of the company's obligations. Our object here, as throughout this book, is not to supply information of a kind readily available elsewhere, but rather to subject current practices to critical examination and to suggest feasible improvements therein for the benefit of security holders generally. In this connection a review of recent developments in the field of reorganization procedure may also be found of value.

Indenture or Charter Provisions Designed to Protect Holder of Senior Securities. The contract between a corporation and the owners of its bonds is contained in a document called the *indenture or deed of trust*. The corresponding agreements relating to the rights of preferred stockholders are set forth in the Articles, or Certificate, of Incorporation. These instruments usually contain provisions designed to prevent corporate acts injurious to senior security holders and to afford remedies in case of certain unfavorable developments. The more important occurrences for which such provision is almost always made may be listed under the following heads:

1. In the case of bonds:
 - a. Nonpayment of interest, principal, or sinking fund.
 - b. Default on other obligations, or receivership.
 - c. Issuance of new secured debt.
 - d. Dilution of a conversion (or subscription) privilege.